

accounts they own to one another rather than looking at the entire picture from the top down. By mistakenly focusing on the performance of each account separately, investors can turn an asset location strategy into a ticking bomb. When one account performs badly compared to another, an investor may decide to switch investments in the underperforming account without considering the overall asset allocation. Investors who practice asset location need to remember that it is the big asset allocation picture that matters, not each individual account.

TAX SWAPS FOR HIGHER AFTER-TAX RETURNS

Stock and bond prices change every day. Occasionally, there will be a loss in one of the mutual funds in a taxable account. When a loss occurs, “swapping” mutual funds can increase after-tax performance. Tax swapping involves selling one investment and incurring a tax loss while simultaneously buying another investment that is very similar to the one sold but not “substantially identical” to it. That keeps your overall asset allocation on target while harvesting the loss. The tax loss can then be used to offset gains from other parts of the portfolio, to offset mutual fund distributions, or to offset up to \$3,000 per year in ordinary income. Harvesting tax losses when they are available helps turn lemons into cherries.

Here is an example. Assume that you hold the Vanguard Total U.S. Stock Market ETF (ticker symbol: VTI) fund at a loss. Sell VTI and buy the iShares Russell 3000 ETF (ticker symbol: IWB). [Figure 15-2](#) illustrates the tracking between the two funds.

The two funds have nearly identical returns, but they are not substantially identical because they are managed by different mutual fund companies and are benchmarked to different stock indexes; VTI tracks the MSCI U.S. Broad Market Index, and IWB tracks the Russell 3000 Index. A swap from VTI to IWB allows you to capture the loss while staying 100 percent invested in the stock market.

FIGURE 15-2

Weekly Closing Prices of VTI and IWB